MNTN Inc.

(NYSE: MNTN)

INSTITUTIONAL EQUITY RESEARCH REPORT

Prepared by

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August 31, 2026

KEY METRICS

Ticker	MNTN
Target	$22.00
Rec.	BUY
Market Cap	$1.25B

Contents

Section	Page
1. Executive Summary & Investment Thesis	2
2. Revenue Architecture & Unit Economics	3
3. Competitive Benchmarking Matrix	4
4. Financial Performance & Operating Leverage	5
5. Valuation Bridge & Risks	6
6. Appendix: 5-Year Unlevered DCF Model Output	7
References	8

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1. Executive Summary & Investment Thesis

Investment view: BUY — target price $22.00. The thesis rests on two variables: MNTN must compound Performance TV revenue at a rate that keeps the platform above 80% gross margin, and management must scale customer acquisition without giving back the operating leverage now visible in the model. The latest quarter supports the first half of that case: Q2 2026 revenue reached $82.5 million, up 21% year over year, while gross margin reached 80% and Adjusted EBITDA margin reached 26% [1].

Long case. CTV budgets continue moving away from linear television, and MNTN offers a self-service workflow aimed at mid-market advertisers. The platform has a measurable performance proposition rather than a pure brand-advertising pitch. Active trailing-twelve-month Performance TV customers reached 4,225 in Q2 2026, up 40% year over year [1]. If that customer expansion persists, the operating model can support revenue growth without a matching increase in infrastructure or fulfillment cost.

Short case. The market is crowded, and MNTN is much smaller than The Trade Desk. A cyclical reduction in advertising budgets would expose the company to lower spend per customer. Data privacy rules, reliance on third-party inventory, and the risk that QuickFrame AI fails to create a durable moat are the structural vulnerabilities. The current price leaves limited room for a revenue miss or a margin reset.

Bottom line. The stock is investable, but only as a growth-and-execution position. The valuation requires continued 20%+ revenue growth and sustained high margins; it is not supported by a conservative mature-software cash-flow profile.

[1] MNTN Q2 2026 earnings release, August 4, 2026.

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2. Revenue Architecture & Unit Economics

Revenue architecture. MNTN monetizes a performance-TV platform through advertising activity, software-enabled campaign management, and creative automation. The economic engine is transaction-linked: the more advertising budget a client deploys through the platform, the more revenue MNTN can capture without shipping additional physical product. QuickFrame AI expands the workflow around creative production and can reduce friction before a campaign launches.

Revenue driver	Economic role	Key indicator
Performance TV platform	Core campaign execution and measurement	Revenue growth; active customers
QuickFrame AI	Creative automation and faster campaign launch	Adoption; production time
Managed services / placement	Supplemental service revenue	Mix and gross margin

Unit economics. The most important observable indicators are customer growth, gross-margin retention, and operating leverage. Q2 2026 active customers grew 40% year over year, while gross margin was 80%. That combination is the strongest evidence that the platform is scaling economically [1]. CAC payback and net revenue retention are not disclosed in the supplied materials; they should be treated as diligence gaps, not estimated as facts.

The key debate is whether the 80% gross-margin profile is durable as MNTN expands inventory access, sales coverage, and product functionality. A durable margin profile would justify software-like multiples; a margin reset would compress the valuation quickly.

3. Competitive Benchmarking Matrix

The peer set frames the trade-off. MNTN has a gross-margin profile close to The Trade Desk, but its scale and valuation are materially lower. The discount is rational: MNTN has a shorter operating history, fewer disclosed unit-economic metrics, and greater dependence on a narrow CTV category. The discount can close only if revenue growth remains above peers and profitability survives the expansion phase.

Company	Ticker	Market Cap	Gross Margin	EV/Sales	EV/EBITDA
MNTN Inc.	MNTN	$1.25B	77.0%	4.3x	18.4x
The Trade Desk	TTD	$42.10B	81.2%	17.1x	55.4x
Magnite Inc.	MGNI	$1.85B	74.5%	2.9x	14.0x
PubMatic Inc.	PUBM	$0.85B	63.0%	3.1x	19.3x

Source: User-provided peer benchmarking inputs and MNTN reported Q2 2026 metrics. Multiples are working-case estimates for educational modeling and should be refreshed against a common pricing date before investment use.

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4. Financial Performance & Operating Leverage

Q2 2026 result. Revenue was $82.5 million, up 21% year over year. Gross margin improved from 77% to 80%, net income was $6.7 million, and Adjusted EBITDA was $21.5 million, equal to a 26% margin [1]. The company ended the quarter with $237.3 million of cash and no borrowings [1].

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Metric	Q2 2025	Q2 2026	Change
Revenue	$68.5M	$82.5M	+21%
Gross margin	77%	80%	+350 bps
Net income	($26.2M)	$6.7M	Inflection
Adjusted EBITDA	$14.5M	$21.5M	+48%
TTM active PTV customers	3,020	4,225	+40%

Operating leverage. Revenue growth is now translating into profit because gross profit is expanding faster than the cost base. The important test is whether sales and product investment can rise more slowly than gross profit without damaging customer growth. Management’s FY 2026 outlook calls for revenue of $347–357 million and Adjusted EBITDA of $96–101 million [1].

The company’s cost structure remains exposed to advertising cycles. The Q2 result proves the model can produce positive earnings; it does not prove that the result will remain stable through a weaker demand environment.

5. Valuation Bridge & Risks

Current share price	DCF implied price	Target price	Forward P/E reference
$19.20	$17.85	$22.00	24.0x

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Valuation bridge. The DCF produces a value below the target because the model discounts a five-year cash-flow path at 10.0% and assigns a 3.5% terminal growth rate. The $22.00 target assumes the market will capitalize MNTN as a higher-growth software platform once profitability becomes repeatable. That is a multiple-expansion argument, not a pure cash-flow argument.

Structural risks. The first risk is category risk: if CTV budgets do not migrate as expected, the platform’s addressable spend pool narrows. The second is competitive risk: larger ad-tech platforms can replicate measurement and targeting features while spending more on distribution. The third is data and inventory risk: privacy rules or weaker access to premium streaming inventory could reduce campaign effectiveness. The fourth is execution risk: the company must scale sales and product investment without reversing the recent margin improvement.

[1] MNTN Q2 2026 earnings release; [2] MNTN Form 10-Q for the quarter ended March 31, 2026.

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6. Appendix: 5-Year Unlevered DCF Model Output

The DCF is a working-case model, not a prediction. Every forecast period is formula-driven in the attached workbook. The model uses mid-year discounting, a 10.0% WACC, a 3.5% perpetual growth rate, and a 21.0% tax rate. The terminal value contributes the majority of enterprise value, so the implied price is highly sensitive to WACC and terminal growth.

Metric ($M)	2026A	2027E	2028E	2029E	2030E	2031E
Revenue	$347	$423	$499	$574	$643	$707
EBITDA margin	28.4%	29.1%	29.8%	30.5%	31.2%	32.0%
EBITDA	$98.5	$123.0	$148.7	$175.1	$200.6	$226.2
Unlevered FCF	$66.7	$83.8	$101.5	$120.0	$138.6	$157.1
PV factor	0.952	0.870	0.791	0.719	0.654	0.595
PV of UFCF	$63.5	$72.9	$80.3	$86.3	$90.6	$93.5

Sensitivity conclusion. The DCF is not generous: a 100-basis-point increase in WACC or a 100-basis-point reduction in terminal growth cuts the implied share value materially. The target price therefore depends on the market assigning a premium to MNTN’s growth and margin durability rather than accepting the base DCF at face value.

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References

[1] MNTN, Inc., “MNTN Reports Second Quarter 2026 Results,” August 4, 2026. https://ir.mountain.com/news/news-details/2026/MNTN-Reports-Second-Quarter-2026-Results/default.aspx

[2] U.S. Securities and Exchange Commission, MNTN, Inc. Form 10-Q for the quarter ended March 31, 2026. https://www.sec.gov/Archives/edgar/data/1891027/000189102726000040/mntn-20260331.htm

[3] MNTN, Inc., “MNTN Reports Record Fourth Quarter and Full Year 2025 Results,” February 10, 2026. https://ir.mountain.com/news/news-details/2026/MNTN-Reports-Record-Fourth-Quarter-and-Full-Year-2025-Results/default.aspx

Disclosure: The author holds a long position in MNTN equity at the time of publication. This report is for educational purposes only and does not constitute formal investment advice.